94% of oil imports are through foreign vessels. Insurance costs have also risen, all of which have added to the higher price of India's crude oil basket," says energy expert Narendra Taneja, while noting that India has diversified crude oil imports beyond the Gulf countries.

The impact is visible in the BCI survey: 54% of businesses identified the West Asia war as their top concern going into the third quarter, and nearly two thirds remained impacted by it to varying degrees. While 27% said they remain somewhat impacted by the conflict in terms of exports and imports, 45% reported being highly impacted with loss of orders and higher costs.

GROWTH OUTLOOK

Despite the caution, businesses remain relatively optimistic about economic growth this fiscal year, with 41% of those surveyed saying that the economy will do better than anticipated in FY27 following the 7.8% GDP growth in the first quarter.

Agencies like the World Bank, Asian Development Bank, and the OECD have scaled up their growth forecasts for India for FY27 to 7% and even higher in recent weeks, but it remains below the 7.8% real GDP growth in FY26.

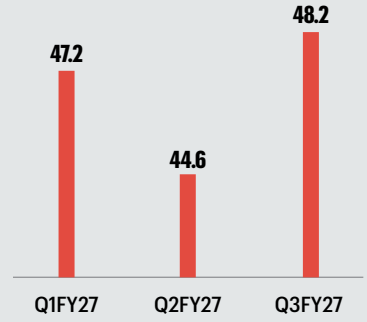
Madan Sabnavis, Chief Economist at Bank of Baroda, also expects the economy to grow by 7-7.2% this fiscal and underlines that the economy is much bigger in size compared to a decade ago and better placed to absorb shocks. However, while Q1 and Q2 growth are seen to be on the higher side partly due to the base effect, he says growth may slow down in Q3FY27.

According to Sabnavis, the third quarter is a critical time as it is marked by several festivals and is also the post-harvest time that determines rural income and consumption. "With large parts of the country registering poor rains, there is apprehension about crops and income that will impact rural spending," he says.

Reserve Bank of India Governor Sanjay Malhotra, in his monetary policy

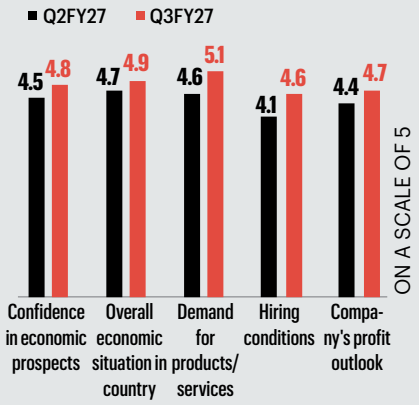
A SLIGHT UPTICK

• Business confidence in Q3 rises sequentially but still in contractionary zone



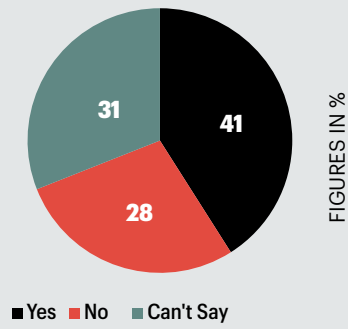
FESTIVE CHEER?

• Season unlikely to lift mood much

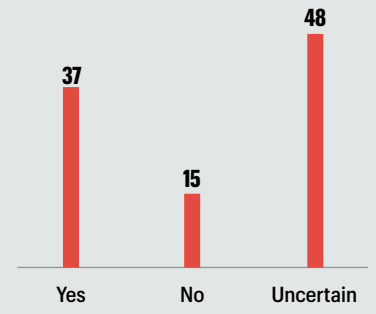


INDIA INC SEES MANY CHALLENGES AHEAD

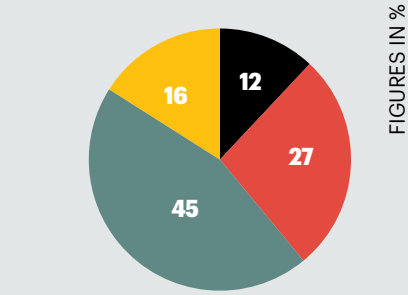
• With Q1 growth at 7.8%, do you expect the economy to perform better than anticipated in FY27?



• With the festive season now starting, do you expect higher consumer demand?



• Six months since the war in West Asia began, how is your business impacted?



• Will you hire more workers to meet festive season demand?

